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M.B.A.**SECOND SEMESTER EXAMINATION, 2015-16****FINANCIAL MANAGEMENT**Time : **3 Hours**Max. Marks : **100**

- Note :** (i) Attempt **ALL** questions.
(ii) Choices are given in each question set.

1. Attempt any **Two** of the following questions: **10 x 2 = 20**
 - (a) Briefly explain the three key activities of the financial management.
 - (b) What is Annuity? Explain how future value of annuity can be determined.
 - (c) "The wealth maximization objective provides an operationally appropriate decision criterion." Analyze the statement.

2. Attempt any **Two** of the following questions: **10 x 2 = 20**
 - (a) Explain Net-Income and Net operating income approaches of capital structure.
 - (b) What do you understand by working capital? How it is determined and what are the factors which decide the amount of working capital?
 - (c) Leverage is a double edged weapon. Explain.

3. Attempt any **Four** of the following questions: **5 x 4 = 20**
 - (a) How cost of equity is determined?
 - (b) What is combined leverage?
 - (c) Objectives of working capital management.

- (d) Explain Time Value of money.
- (e) Baumol model of cash management.
- (f) What do you mean by capital budgeting?

4. Attempt any **Two** of the following questions: **10 x 2 = 20**

(a) The established company balance sheet is as follows:

Liabilities	Amount	Assets	Amount
Equity Capital (Rs. 10 per Share)	60,000	Net Fixed Assets	150,000.00
10% Long Term Debt	80,000	Current Assets	50,000.00
Retained Earnings	20,000		
Current Liability	40,000		
Total	200,000	Total	200,000.00

The company total assets turnover ratio is 3, its fixed operating cost are Rs. 1,00,000 and valuable operating cost ratio is 40%. The income tax rate is 35%.

- (i) Calculate all three types of leverages.
 - (ii) Determine the likely level of EBIT if EPS is Rs. 1, Rs. 2 and Rs. 3.
- (b) What do you understand by dividend? Explain its types. Also explain Gordon Model of dividend.
- (c) A Ltd. is considering installation of new machine in place of an existing old one which has become obsolete, the company made extensive enquires and from replies received, shortlisted two offers. The two models differ in cost, output and anticipated net revenue. The estimated life of both the machines is 5 years. There will be only negligible salvage value at the end of 5th year. Further details are as follows:

(After tax cash flow in Lakhs)

Machine	Cost	Year 1	Year 2	Year 3	Year 4	Year 5
A	25	Nil	5	20	14	6
B	40	10	14	16	17	8

The companies cost of capital is 16%. You are required to make an appraisal of two offers and advice the firm by using the following:

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|---------------------------|----------|
| (i) Pay Back Period | (ii) NPV |
| (iii) Profitability Index | (iv) ARR |

5. Attempt any **Four** of the following questions:

5 x 4 = 20

- (a) What is Walter model of Dividend?
- (b) What is optimum cash? How it is calculated?
- (c) What do you understand by operating cycle?
- (d) What is financial leverage?
- (e) What are the contemporary issues in financial management?
- (f) Explain various types of dividend.

